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Marks	10.00/10.00
Grade	**5.00** out of 5.00 (**100**%)

Question **1**
Correct
Mark 1.00 out of 1.00

What approach can organizations adopt to minimize surrogation without eliminating performance metrics?

Select one:
- 1. Use multiple metrics ✓
- 2. Focus on a single metric
- 3. Remove performance targets
- 4. Increase financial incentives

Your answer is correct.

Using multiple metrics makes employees less likely to surrogate, as no single measure fully captures the strategic objective (*"People surrogate less when they're compensated for meeting targets on multiple metrics,"* p. 11).

The correct answer is: Use multiple metrics

Question **2**
Correct
Mark 1.00 out of 1.00

How did Intermountain Healthcare reduce surrogation risks in their lower-back-pain treatment strategy?

Select one:
- 1. By setting a perfect target for patient delays
- 2. By linking physician bonuses directly to waiting times
- 3. By involving physicians in strategy development ✓
- 4. By removing performance metrics entirely

Your answer is correct.

Intermountain involved doctors in formulating the strategy, which helped employees understand the broader goal rather than fixating on the metric (*"Without question, when physicians are involved in designing objectives, they better understand those objectives,"* p. 9).

The correct answer is: By involving physicians in strategy development

Question 3

Correct

Mark 1.00 out of 1.00

Why is surrogation particularly harmful when there is a significant mismatch between the metric and the strategic objective?

Select one:

1. It makes performance easier to quantify

2. It increases employee autonomy

3. It improves transparency in performance measurement

4. It encourages short-term gains at the expense of long-term goals

Your answer is correct.

The article highlights that when metrics poorly align with the strategy, employees are likely to prioritize the metric itself rather than the strategic goal. This can lead to actions that achieve short-term targets while damaging the company's long-term objectives ("*Surrogation is especially harmful when the metric and the strategy are poorly aligned,*" p. 5).

The correct answer is: It encourages short-term gains at the expense of long-term goals

Question 4

Correct

Mark 1.00 out of 1.00

Why does loosening the link between metrics and financial incentives reduce surrogation risks?

Select one:

1. It encourages employees to ignore metrics

2. It removes employee motivation

3. It makes metrics harder to measure

4. It reduces the visibility of the metric

Your answer is correct.

The article explains that tying compensation to metrics increases their visibility, which makes employees more likely to equate them with the strategy ("*Tying compensation to a metric-based target tends to increase surrogation,*" p. 10).

The correct answer is: It reduces the visibility of the metric

Question **5**
Correct
Mark 1.00 out of 1.00

What is the primary danger of relying on a single performance metric to assess strategic success?

Select one:
- 1. It ensures consistency across departments
- 2. It encourages long-term thinking
- 3. It distorts employee behavior ✓
- 4. It simplifies performance evaluation

Your answer is correct.

The article emphasizes that a single metric creates an oversimplified view of performance, which can lead employees to manipulate the metric rather than pursue the broader strategy (*"Surrogation can have a far bigger impact and do much greater harm when a single metric is used widely,"* p. 6).

The correct answer is: It distorts employee behavior

Question **6**
Correct
Mark 1.00 out of 1.00

What cognitive mechanism makes surrogation a subconscious rather than a deliberate action?

Select one:
- 1. Anchoring
- 2. Substitution ✓
- 3. Groupthink
- 4. Cognitive dissonance

Your answer is correct.

The article mentions the theory by Daniel Kahneman and Shane Frederick, which suggests that substitution happens when people unconsciously replace complex problems with simpler ones (*"Surrogation is a common subconscious bias... whenever metrics are present, people tend to surrogate,"* p. 8).

The correct answer is: Substitution

Question 7

Correct

Mark 1.00 out of 1.00

How did Wells Fargo's leadership unintentionally reinforce surrogation among employees?

Select one:

1. By introducing non-financial incentives
2. By emphasizing the “Eight is great” slogan ✓
3. By involving employees in strategy formulation
4. By setting flexible sales targets

Your answer is correct.

Wells Fargo's CEO John Stumpf’s mantra “Eight is great” became a symbol of the company's focus on cross-selling metrics rather than its broader strategy of building long-term customer relationships (*"The mental tendency to replace strategy with metrics can destroy company value,"* p. 7).

The correct answer is: By emphasizing the “Eight is great” slogan

Question 8

Correct

Mark 1.00 out of 1.00

Which factor makes employees more likely to surrogate performance metrics for strategic goals?

Select one:

1. Lack of performance targets
2. Clear and conspicuous metrics ✓
3. Frequent strategy discussions
4. Detailed strategic objectives

Your answer is correct.

The article states that conspicuous and concrete metrics tend to dominate employees' focus, especially when the broader strategy is more abstract (*"The metric of the strategy is concrete and conspicuous,"* p. 8).

The correct answer is: Clear and conspicuous metrics

Question 9
Correct
Mark 1.00 out of 1.00

What was one of the key findings of Wells Fargo's internal investigation regarding employee misconduct?

Select one:
- 1. Financial incentives were the sole cause of misconduct
- 2. Employees lacked sales training
- 3. Employees prioritized meeting quotas over customer needs ✓
- 4. The company did not track performance metrics

Your answer is correct.

The internal investigation revealed that pressure to meet sales quotas was more frequently cited as the cause of misconduct than financial incentives (*"Employees under investigation cited pressure more often than incentives as a cause for misconduct,"* p. 6).

The correct answer is: Employees prioritized meeting quotas over customer needs

Question 10
Correct
Mark 1.00 out of 1.00

What is the authors' final recommendation to managers for safeguarding strategy against surrogation?

Select one:
- 1. Combine employee involvement, multiple metrics, and weak metric-incentive links ✓
- 2. Focus entirely on qualitative assessments
- 3. Eliminate performance measurement systems
- 4. Use strict benchmarks tied to compensation

Your answer is correct.

The authors recommend a three-pronged approach: involving employees in strategy formulation, loosening the connection between metrics and incentives, and using multiple metrics (*"Get the people responsible for implementing strategy to help formulate it... Use multiple metrics,"* p. 8-13).

The correct answer is: Combine employee involvement, multiple metrics, and weak metric-incentive links